Marketing communication. This communication is “marketing communication” and is not intended to constitute “investment research” as that term is defined by applicable regulations. This communication has as such not been prepared in accordance with the legal requirements designed to promote the independence of investment research and is not subject to any prohibition on dealing ahead of the dissemination of the communication

Important disclosures and certifications are contained from page 19 of this report

https://research.danskebank.com

19 January 2026

FX Forecast Update

Geopolitics takes centre stage as 2026 kicks off

Kristoffer Kjær Lomholt
Director
klom@danskebank.dk

Jens Nærvig Pedersen
Director
jenpe@danskebank.dk

Kirstine Kundby-Nielsen
Analyst
kigrn@danskebank.dk

Mohamad Al-Saraf
Associate
moals@danskebank.dk

Allan von Mehren
Director
alvo@danskebank.dk

Stefan Mellin
Chief Analyst
mell@danskebank.se

Jesper Fjärstedt
Senior Analyst
jesppe@danskebank.se

Antti Ilvonen
Associate
ilvo@danskebank.com

Bjørn Tangaa Sillemann
Director
bjsi@danskebank.dk

Emilie Herbo
Assistant Analyst
eherb@danskebank.dk

Danske Bank

FX market overview

Recent developments: geopolitical tensions tested by solid macroeconomic backdrop

- Since our last FX Forecast Update on 19 December, geopolitical developments, not least the escalating Greenland debate, have taken centre stage amidst a solid macroeconomic backdrop. US data releases suggest a cooling yet stabilizing labour market, with price pressures relatively contained. Risk sentiment has been positive, supported by continued strong earnings, with a rotation from tech into more traditional cyclical sectors. While short-end rates have remained stable, rising term premiums have driven a bearish steepening of the US yield curve. Concerns over Fed independence have re-emerged, as the Department of Justice issued grand jury subpoenas to the Fed. This, however, seems to have proven an implicit relief for markets due to the subsequent push back from Republican lawmakers in the Senate making it more difficult for Trump to nominate a new Fed Chair. Oil prices have climbed on the risk of US intervention in Iran. In Japan, snap election speculation is weighing on the Yen as PM Takaichi appears likely to advance her pro-stimulus agenda.

FX implications: broad USD strength and Scandies outperformance

- The FX market has shown limited directional movement over the past month, largely driven by seasonal rebalancing flows. EUR/USD has edged lower, trading in the 1.16-1.17 range, underpinned by broad USD strength. Meanwhile, high-beta Scandies have emerged as G10 top performers. Following a weak end to 2025, NOK has rebounded strongly in January, driven by seasonal patterns amplified by rising oil prices. EUR/SEK has benefited from risk sentiment and Swedish macro tailwinds. JPY has weakened significantly, pushing USD/JPY above 158. Finally, EUR/DKK is trading near the 7.47-level, close to historical intervention levels, reflecting ample DKK liquidity.

Outlook: bullish on EUR/USD and EUR/Scandies

- In the near term, we view the balance of risks for EUR/USD as relatively neutral. Over the medium term, we maintain our outlook for EUR/USD to trend higher, underpinned by narrowing real rate differentials, a recovering European asset market, reduced global demand for restrictive monetary policy, persistent tailwinds from hedge ratio adjustments, and fading confidence in US institutions. For EUR/SEK, domestic factors like the brighter growth outlook and relative monetary policy have turned slightly positive for the Swedish krona. For EUR/NOK, we still believe the trend trajectory is higher, driven by unit labour costs divergence – but we highlight that volatility around this trend is likely to be considerable.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hit, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data and/or renewed euro area weakness that could prompt the ECB to cut again this year could keep the USD stronger-for-longer. We highlight that a stagflationary shock to the US economy might not necessarily be positive for the USD. Finally, we will closely monitor geopolitical events and any signs that the global cycle is turning.

Contents

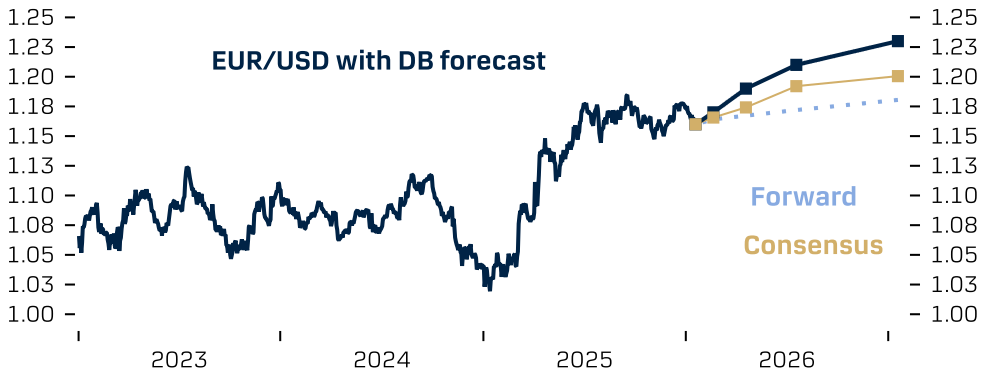
FX market overview 2
EUR/USD 3
EUR/SEK 4
EUR/NOK 5
EUR/DKK 6
EUR/GBP 7
USD/JPY 8
EUR/CHF | EUR/PLN 9
AUD/USD | USD/CAD 10
USD/CNY 11
Oil 12
Danske Bank FX forecasts vs EUR 13
Danske Bank FX forecasts vs DKK 14
Danske Bank FX forecasts vs SEK 15
Danske Bank FX forecasts vs NOK 16
Danske Bank FX forecasts vs USD 17
Danske Bank FX forecasts vs GBP 18
Disclosure and disclaimer 19

Emilie Herbo, Assistant Analyst, eherb@danskebank.dk, Kristoffer Kjær Lomholt, Director, klom@danskebank.dk, +45 45 12 85 29

EUR/USD – upward trajectory in 2026

- **Cyclical outlook.** Despite several tier-1 US data releases over the past month, the overall narrative surrounding the US economy remains largely unchanged, with labour market data continuing to indicate a gradual softening. The December jobs report was close to expectations, with the most notable development being the decline in the unemployment rate to 4.4%, down from 4.6%. While inflation remains above the Fed's 2% target, price pressures appear relatively contained for now, as evidenced by the December CPI print. We expect sequential growth to recover into 2026, supported by accommodative fiscal and monetary policies. However, structurally, demographic trends increasingly constrain the expansion of the economy's productive capacity. In the euro area, growth has performed better than expected. Businesses have displayed resilience despite tariff uncertainty. However, downside risks have surfaced following the threat of US tariffs on European goods starting from February. We expect euro area inflation to fall below target, averaging 1.8% y/y in 2026.
- **Monetary policy.** Following the Fed's anticipated third consecutive 25bp rate cut in December, markets are now more divided regarding the timing of the next potential cut. We expect the Fed to pause in January and deliver two additional 25bp cuts in 2026 - in March and June. In the euro area, we anticipate that the ECB will maintain its hold throughout 2026 and 2027. All else being equal, we view the current monetary policy environment as modestly positive for EUR/USD.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1–3Y horizon to be just above 1.20, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy.
- **Positioning.** Non-commercial EUR/USD positioning is long.

Forecast: 1.17 (1M), 1.19 (3M), 1.21 (6M), 1.23 (12M)



	1M	3M	6M	12M
Danske Bank	1.17	1.19	1.21	1.23
Consensus	1.17	1.17	1.19	1.20
Forward	1.16	1.17	1.17	1.18

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

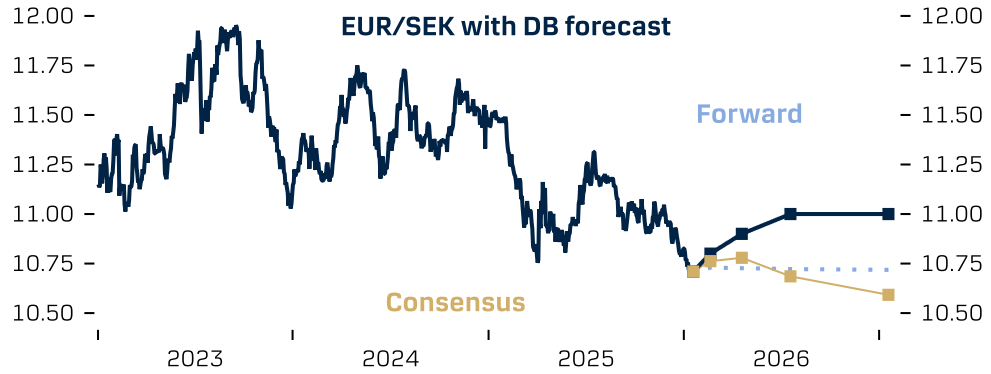
- **Risks.** Risks to our forecast include stronger-than-expected US data, geopolitical escalations and/or renewed euro area weakness.
- **Conclusion.** Since our last update, EUR/USD has trended modestly lower towards 1.16. In the near term, we view the balance of risks for the pair as relatively neutral. Over the medium term, we maintain our outlook for EUR/USD to trend higher, underpinned by narrowing real rate differentials, a recovering European asset market, reduced global demand for restrictive monetary policy, persistent tailwinds from hedge ratio adjustments, and fading confidence in US institutions.

Mohamad Al-Saraf, Associate, moals@danskebank.dk, +45 45 14 12 24

EUR/SEK – short-term oversold

- **Cyclical outlook.** Recent US and European macro data have been solid and even surprised on the upside. In addition, the Swedish economy has finally started to move in the right direction. Household consumption has been the long-awaited driver for the rebound and this year's expansionary fiscal policy is expected to boost households' purchasing power further. The SEK, a high-beta currency, should benefit from a benign global growth outlook that not only underpins the outlook for a small open economy like Sweden but also bolster risk sentiment in general. In addition, Sweden is set to outperform Europe in 2026, which is expected to weigh on EUR/SEK all else equal.
- **Monetary policy.** The Riksbank (RB) kept rates unchanged at the December meeting. We believe that brighter growth prospects, a stronger labour market, and inflation adjusted for the food tax change will trigger a rate hike in December 2026 followed by another 25bp in March 2027. This is not fully priced. Meanwhile, the ECB is expected to stay on hold, which suggests that monetary policy has turned marginally positive for the SEK. Our relative rates model indicates that the recent drop in EUR/SEK has run too fast, though.
- **Flows.** Recent balance of payment data as well as the mutual fund flows confirm that the Swedish savings-investment balance continues to generate net-buying of foreign equities. Swedish net-buying of foreign equities accelerated in Q3 2025. Foreign net-buying of Swedish government bonds have picked up, though the amounts fall short of those seen during the euro crisis. In all, portfolio and direct investments remain SEK negative.
- **Valuation.** Our fair value estimates have converged around 11.00, with relative macro pulling from below whilst relative rates remain above. The Riksbank continues to gradually moderate their assessment of the perceived "undervaluation" of broad SEK, with an almost completely flat KIX forecast.
- **Risks.** Domestically, a false start to the Swedish growth recovery and/or a substantial re-pricing of the RB in any direction. Globally, markets will monitor multiple geopolitical factors. A melt-down in equities like in the first part of 2025 would clearly affect all risk-sensitive currencies including SEK.

Forecast: 10.80 (1M), 10.90 (3M), 11.00 (6M), 11.00 (12M)



	1M	3M	6M	12M
Danske Bank	10.80	10.90	11.00	11.00
Consensus	10.76	10.78	10.69	10.59
Forward	10.73	10.73	10.72	10.72

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

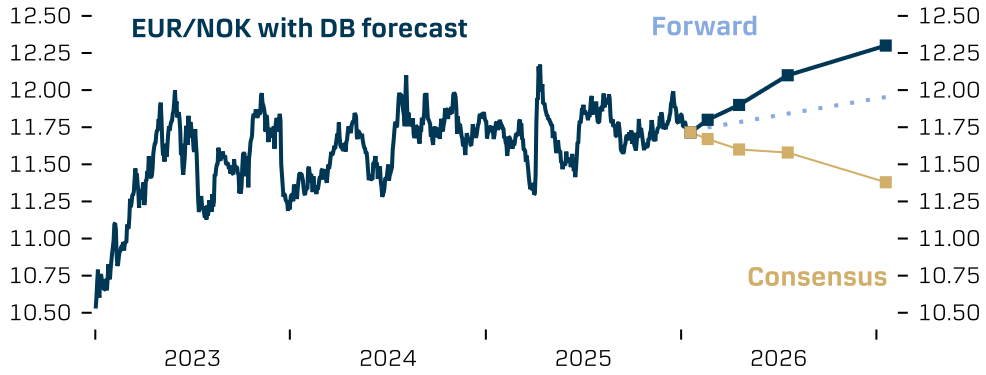
- **Conclusion.** Domestic factors like the brighter growth outlook and relative monetary policy have turned slightly positive for the krona. The strong SEK performance over the last couple of weeks is related to favourable risk sentiment and rebalancing alongside better global and Swedish macro. While the direction seems reasonable, our short-term financial models suggest that the SEK rally is overdone and perhaps that positioning is stretched. Another factor to consider is seasonality, which is a firm headwind for the SEK over the coming months. Meanwhile, the Swedish structural saving- investments balance, which has shown an accelerated demand for global equities in 2025, remains a headwind for the SEK. We keep a relatively flat upward-sloping profile for EUR/SEK. In contrast to economist consensus, we argue that the SEK is not significantly undervalued and that EUR/SEK looks fairly valued at current levels.

Stefan Mellin, Chief Analyst, mell@danskebank.se, +46 8 568 80592, Jesper Fjärstedt, Senior Analyst, jesppe@danskebank.se, +46 8 568 80585

EUR/NOK – January decline to prove temporary

- **Cyclical outlook.** The new year has so far brought limited new information when it comes to the state of the mainland economy. Overall, that leaves us with an impression of a mainland economy muddling through where the important growth drivers from oil investments and petroleum industries are fading while the central wage negotiation framework has created a persistency in unit labour costs. National account figures showed that the mainland economy only grew by 0.1% in Q3 which together with negative revisions to previous quarters has brought the y/y growth rate down to 1.2%. Q4 was likely also relatively weak while Q1 is likely to be slightly better. Capacity utilisation metrics continue lower which should add a downside pressure on domestic inflation over the coming year.
- **Monetary policy.** At the December monetary policy meeting Norges Bank (NB) kept rates unchanged whilst indicating 1-2 rate cuts during 2026. We pencil in three cuts in 2026 and a total of four quarterly rate cuts starting in June which would bring the sight deposit rate back to 3.00% by March 2027. In our view relative rates will be a negative for NOK FX in the coming year.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB has become a considerable NOK buyer in 2026 (fiscal- and FX reserve cap transactions) but this merely reflects equivalently less NOK buying from oil and gas companies amid declining revenues.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labour costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be long but not stretched so.

Forecast: 11.80 (1M), 11.90 (3M), 12.10 (6M), 12.30 (12M)



	1M	3M	6M	12M
Danske Bank	11.80	11.90	12.10	12.30
Consensus	11.67	11.60	11.58	11.38
Forward	11.75	11.78	11.84	11.95

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

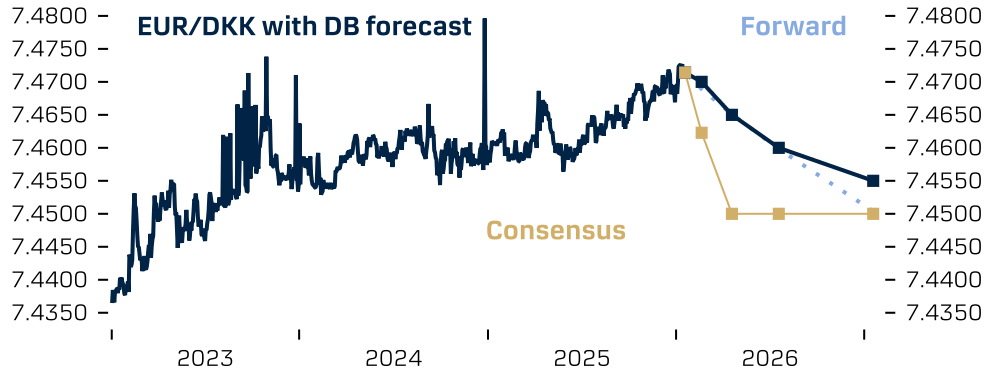
- **Risks.** Risks are closely connected to the global investment environment and hence USD real rates, commodity prices and the relative performance of European assets vs US. In the near-term we will in particular monitor developments related to Iran and the geopolitical impact that this may have on oil.
- **Conclusion.** After a weak end to 2025 for NOK the new year has once again started with a drop in EUR/NOK. This seasonal pattern was part of our baseline but has been amplified by the rise in oil prices amid the geopolitical concerns related to Iran. We still believe the trend trajectory for EUR/NOK is higher – driven by the considerable unit labour costs divergence – but we highlight that volatility around this trend is likely to be considerable.

Kristoffer Kjær Lomholt, Director, klom@danskebank.dk, +45 45 12 85 29

EUR/DKK – close to past intervention level

- **Cyclical outlook.** The cyclical environment looks about neutral to positive for EUR/DKK. Equity markets are rising, which is positive for EUR/DKK through rebalancing effects. Developments in US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** Danmarks Nationalbank (DN) did not intervene when EUR/DKK hit 7.4726 in December. We think EUR/DKK needs to rise above 7.4730 before DN would start to intervene. While intervention over the coming months is a clear possibility, we do not expect a unilateral rate hike the coming year. We expect the ECB to keep its key policy rate steady at 2.00%, which means we look for DN to stay on hold at 1.60% thereby maintaining the policy rate spread at -40bp. Should ECB change interest rates, DN would follow 1:1.
- **External balances.** Denmark continues to run a very large current account surplus around 10-15% of GDP with pharmaceutical exports making a big contribution to the trade surplus. Service exports also help despite the rise in tariffs. The significant surplus materialises in a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve.
- **Positioning.** Recent hedging data from the Danish central bank showed that the domestic life and pension kept its USD hedge around 70% in November. The sector increased its EUR hedge ratio in November for the first time since June. If the sector increases hedge ratios again, it will weigh on EUR/DKK.

Forecast: 7.4700 (1M), 7.4650 (3M), 7.4600 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4700	7.4650	7.4600	7.4550
Consensus	7.4623	7.4500	7.4500	7.4500
Forward	7.4689	7.4651	7.4598	7.4504

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

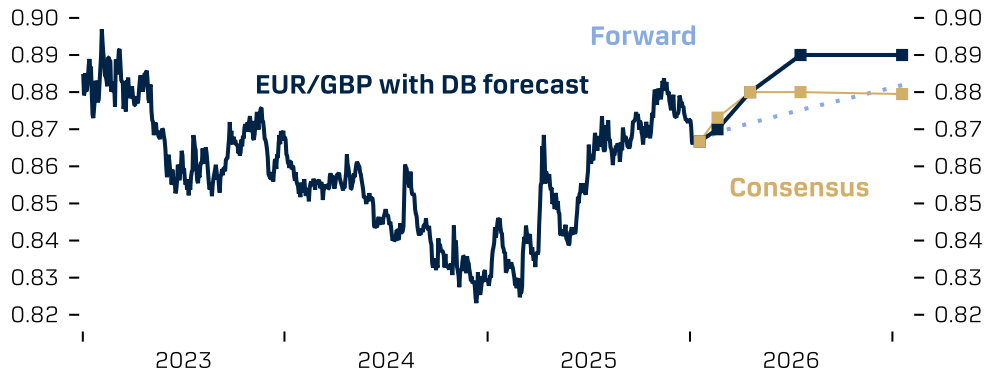
- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. Political uncertainty in France and fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light. For now, the former has had little effect on the pair.
- **Conclusion.** We look for EUR/DKK to fall to trade around 7.4700 level near-term and drop back towards 7.4550 level on 12M as strong fundamentals continue to weigh on the pair.

Jens Nærvig Pedersen, Director, jenpe@danskebank.dk, +45 45 14 14 95

EUR/GBP – to climb higher

- **Cyclical outlook.** The growth outlook for the UK soured since H2 25. Economic activity has flatlined and job losses have accelerated. Consumers are also looking at slowing real income growth and tax increases. Thus, 2026 will likely bring only modest growth. On the other hand, inflation has started to edge lower, which combined with more pronounced weakness in the labour market could trigger further rate cuts from the Bank of England (BoE), which would be negative for the GBP.
- **Monetary policy.** The BoE decided to cut the Bank Rate to 3.75% in December, in a narrow vote split with 4 members voting for a 25bp cut and 5 members voting for an unchanged decision. The BoE repeated the *"Bank Rate is likely to continue on a gradual downward path".* The MPC remains highly split in two camps and commentary from the dovish camp highlights that a cutting cycle could well extend. We expect the BoE to deliver the next cut in the Bank Rate in April but see risks of the cut being delivered sooner and also the risk of additional cuts down the slide. We see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83.
- **Positioning.** Non-commercial positioning is neutral EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK. If growth fares better than expected in the UK, this could send EUR/GBP substantially lower. Similarly, if risky assets experience a significant rally we would expect EUR/GBP to move lower.

Forecast: 0.87 (1M), 0.88 (3M), 0.89 (6M), 0.89 (12M)



	1M	3M	6M	12M
Danske Bank	0.87	0.88	0.89	0.89
Consensus	0.87	0.88	0.88	0.88
Forward	0.87	0.87	0.88	0.88

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

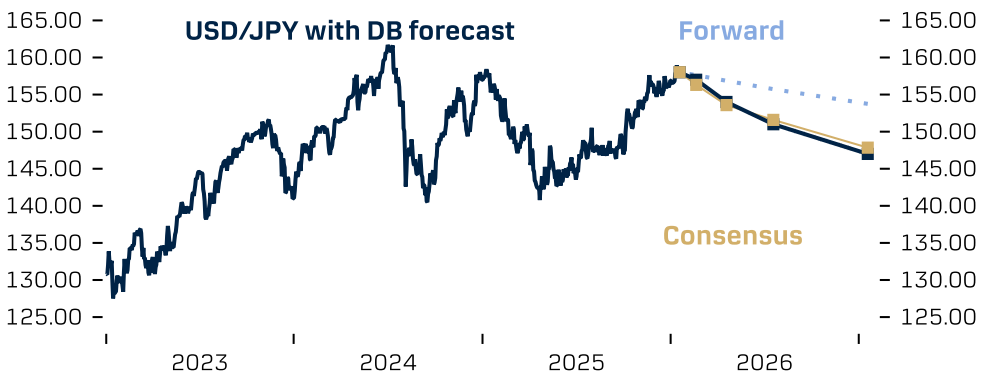
- **Conclusion.** EUR/GBP has edged lower the past month, breaking below the 0.87 mark. Budget concerns have eased following the Autumn Statement with the government sticking to its fiscal rules although the fiscal policy tightening was significantly backloaded. We see domestic factors and the relative growth outlook between the UK and the euro area as GBP negatives. This is further amplified by divergence in the fiscal policy outlook. Additionally, a global investment environment characterised by elevated uncertainty and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.89 on a 6–12-month horizon.

Kirstine Kundby-Nielsen, Analyst, kigrn@danskebank.dk, +45 45 14 15 29

USD/JPY – downward path contingent on political developments

- **Cyclical outlook.** The Japanese economy remains on solid footing as we head into 2026. The Q4 Tankan survey suggested that the Q3 GDP contraction was likely a temporary setback, with the economy continuing to demonstrate resilience despite tariff-related headwinds. The survey highlighted improved business sentiment among Japanese manufacturers, reaching its highest level in four years, while sentiment among non-manufacturers stayed elevated, likely supported by Prime Minister Takaichi's pro-stimulus fiscal agenda and a weaker currency. Recent economic data aligns with the December Bank of Japan (BoJ) rate hike, and looking forward, we expect domestic demand to gradually strengthen in the coming months, aided by positive real wage growth. Inflation remains persistently around 3%, providing scope for further monetary policy tightening in 2026, though this will largely depend on developments in the political landscape with a snap election on the horizon.
- **Monetary policy.** Following the BoJ's 25bp hike at the December meeting, raising the policy rate to 0.75%. We anticipate another 25bp hike at the April meeting, while markets are only fully pricing in the next move by July. Beyond April, we expect the BoJ to continue normalising monetary policy, though this will be contingent on developments on the political front. For USD/JPY, we continue to emphasise that the Fed's cutting cycle remains the primary driver from a monetary policy perspective, which we expect to act as a headwind for the pair.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports have nearly closed the gap caused by the pandemic.
- **Positioning.** Speculators are long positioned in the JPY.
- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay further Fed cuts. An energy shock from potential geopolitical escalations could also pose upside risk.

Forecast: 157 (1M), 154 (3M), 151 (6M), 147 (12M)



	1M	3M	6M	12M
Danske Bank	157	154	151	147
Consensus	156	154	152	148
Forward	158	157	156	154

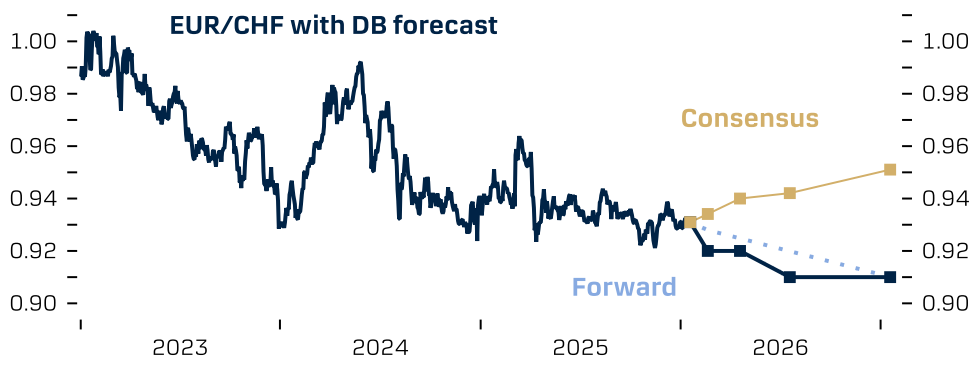
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Since our last update, the upward momentum in USD/JPY has persisted, with uncertainty stemming from the potential snap election. We continue to hold that the strategic case for a lower USD/JPY remains intact, driven by anticipated narrowing rate differentials, although tactical risks have become more ambiguous. We expect market focus to increasingly shift back to fundamental drivers, which, in our view, point to downside pressure on USD/JPY. We project the pair to follow a declining trajectory throughout 2026.

Mohamad Al-Saraf, Associate, moals@danskebank.dk, +45 45 14 12 24

EUR/CHF

Forecast: 0.92 (1M), 0.92 (3M), 0.91 (6M), 0.91 (12M)

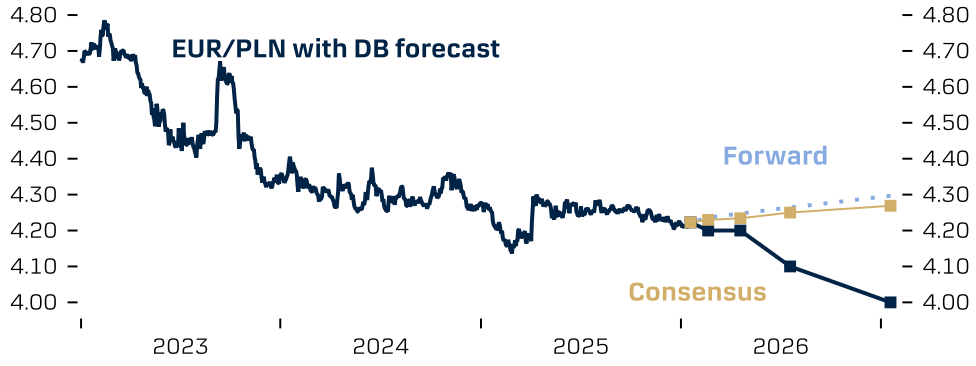


Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- EUR/CHF continues to trade to within a narrow range close to the 0.93 mark. We remain bearish on EUR/CHF, targeting a sustained move towards 0.91 in 6-12 months.
- The Swiss National Bank (SNB) remains firmly on hold with its policy rate at 0% and we expect this to remain the case. However, recent inflation data has been to the soft side, which has increased the pressure on the SNB. The deal of cutting US tariffs from 39% to 15% should offer some relief to Swiss manufacturers, however. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risks to this call are aggressive FX intervention from the SNB to weaken the CHF and US trade policy to have a lasting impact on Swiss growth.

EUR/PLN

Forecast: 4.20 (1M), 4.20 (3M), 4.10 (6M), 4.00 (12M)



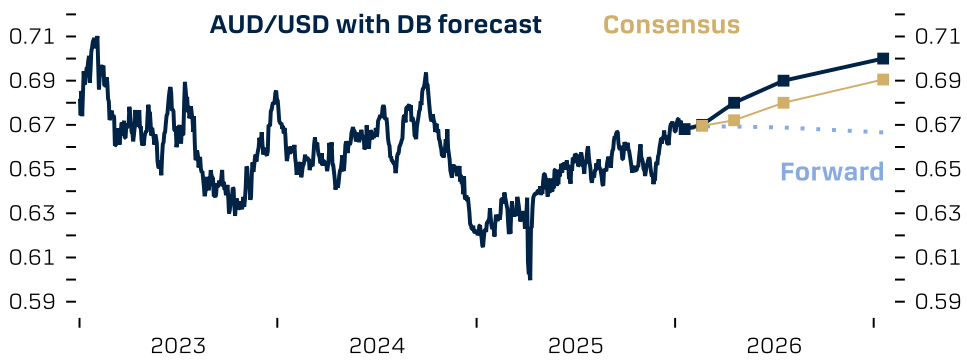
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The end of the easing cycle draws near, and the National Bank of Poland (NBP) kept the key rate unchanged at 4.00% at the January meeting, as per expectations. However, Governor Glapinski sees scope for some further 'fine-tuning' as he expects the main rate to eventually stabilize around 3.5%, hence seeing scope for two more cuts in 2026. The next 25-basis points cut could be considered as soon as February or March, depending on incoming data and we see March as the more plausible date of the two, as the NBP is set to update their economic forecasts by then.
- Having moved gradually lower through Q4 2025, EUR/PLN did brake out of the solid 4.22-4.30 range that kept for most of 2025 but is now back trading around 4.22. We continue to expect a Polish growth outperformance (vs the Eurozone) and a positive rate gap both favoring the Zloty. On top of this, we did see an influx of foreign investment capital into Polish assets in 2025. Should this continue, potentially supported by a pickup in domestic equity investments on the back of the new tax-free personal investment accounts, Polish assets should find some solid support also in 2026, to the benefit of the Zloty.

Kirstine Kundby-Nielsen, Analyst, kigrn@danskebank.dk, +45 45 14 15 29
Jesper Fjärstedt, Senior Analyst, jesppe@danskebank.se, +46 8 568 80585

AUD/USD

Forecast: 0.67 (1M), 0.68 (3M), 0.69 (6M), 0.70 (12M)

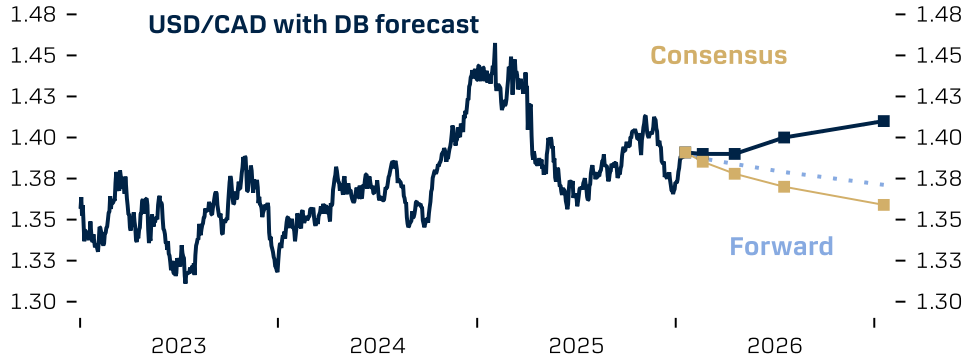


Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD/USD strengthened into 2026, driven by relative rates, terms-of-trade and generally positive risk sentiment.
- The Reserve Bank of Australia (RBA) maintained rates unchanged in December, as widely expected. The latest November inflation report landed slightly below expectations at 3.4%, but RBA continues to put more weight on the quarterly releases. With inflation still above target and labour markets relatively tight, markets are speculating with around 20-25% probability for a rate hike already in the next meeting in early February. The first 25bp hike is fully priced in by June-August.
- Improving manufacturing cycle across Asia has lifted prices of industrial metals, including Australian coking coal and iron ore used in steelmaking. Improving terms-of-trade alongside our expectation of broad USD weakness are likely to maintain AUD/USD on a rising trend also in 2026.

USD/CAD

Forecast: 1.39 (1M), 1.39 (3M), 1.40 (6M), 1.41 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- We regard USD/CAD as a low-beta version of USD/NOK amid the CAD's close connection to both oil but also the US economy. As we expect the USD to do poorly over the coming year (see EUR/USD slide) this will in isolation pose as a headwind for the trade weighted CAD. In addition, the Canadian economy outlook alongside continued trade concerns with the US are likely to pull CAD lower – also vs the USD. We therefore stick to a flat-to-marginally upward sloping profile for the cross with positioning indicators suggesting a roughly neutral backdrop.
- Even if Bank of Canada (BoC) has likely delivered its final rate cut in this cycle, we overall see relative rates as a neutral for the cross. Near-term, the cross will largely be a derivative of the global USD narrative and on how cyclically sensitive assets perform globally.

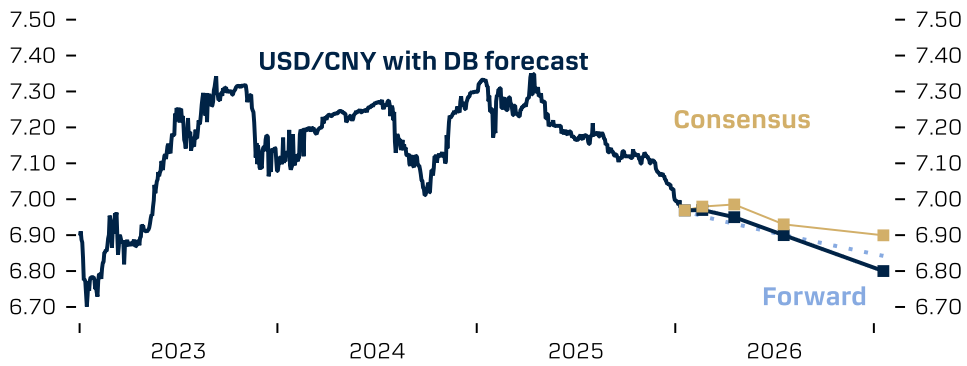
Antti Ilvonen, Associate, ilvo@danskebank.com, +358 445 180 297

Kristoffer Kjær Lomholt, Director, klom@danskebank.dk, +45 45 12 85 29

USD/CNY - faster decline

- **CNY the past month.** USD/CNY accelerated the trend lower and has broken below 7 as the fixing continues to move lower and the market pre-empts further declines.
- **Growth outlook.** The Chinese economy continues to be a two-speed economy with weak domestic demand and strong exports and tech development. Economic data for Q4 continued to show weakness in private consumption as well as in housing. Export growth remained strong though as China's competitiveness has improved even further in recent years with a sharp depreciation of the real trade-weighted CNY. The annual Central Economic Work Conference in December showed no sign of a big stimulus coming but we expect China to continue to support the economy enough to keep growth close to 5% growth again in 2026 (our forecast is 4.8%).
- **Monetary policy.** People's Bank of China (PBOC) has cut some structural lending support and signaled it has room to cut policy rates and the reserve requirement rate in 2026. We expect a cut in policy rates of around 10bp within the next 1-2 months.
- **FX policy**. PBOC has revealed a preference for a gradual decline in USD/CNY by lowering the fixing steadily for some time now. We expect this policy to continue over the coming year as the currency looks undervalued and currency strengthening facilitates the rebalancing of the economy China aims for. The fixing sets the middle of the +/-2% daily trading band. While the nominal trade weighted currency is broadly flat the real trade weighted currency is down by around 20% over the past 3-4 years.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, due to a pick-up in outbound tourists. Net FDI is negative as inbound FDI has weakened while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.). They also increasingly invest in Southeast Asia where tariff rates to the US are lower.
- **Valuation.** With a continuously rising trade surplus and depreciation of the real currency, the CNY looks increasingly undervalued in the long run.

Forecast: 6.97 (1M), 6.95 (3M), 6.90 (6M), 6.80 (12M)



	1M	3M	6M	12M
Danske Bank	6.97	6.95	6.90	6.80
Consensus	6.98	6.99	6.93	6.90
Forward	6.95	6.93	6.90	6.84

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

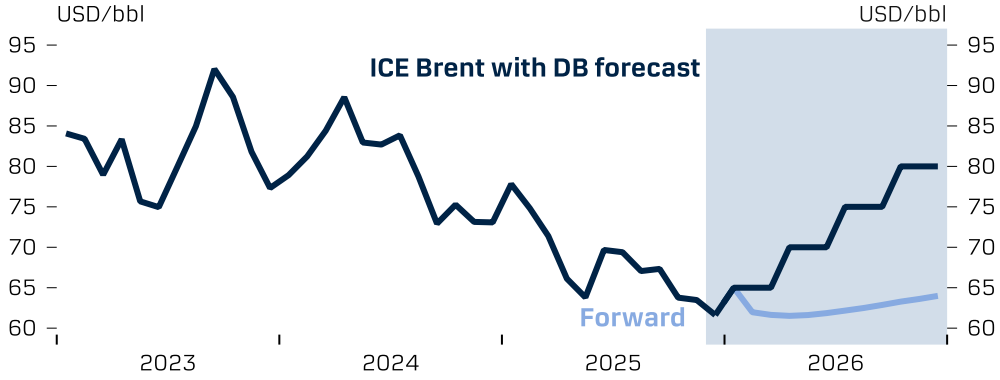
- **Conclusion.** We lower our forecast again due to China's revealed preference for a continued stronger currency and the market increasingly pre-empting the move. We have lowered the 6M forecast to 6.90 (previously 7) and the 12M forecast to 6.80 from previously 6.95.
- **Risks.** The uncertainty to the outlook is generally high due to unpredictability of Trump's policies and uncertainty over how fast PBOC wishes to strengthen the currency.

Allan von Mehren, Director, alvo@danskebank.dk, +45 45 12 80 55

Oil – renewed geopolitical risks to have limited short-term impact

- **Macro.** The oil market remains well supplied following a series of OPEC+ output hikes. The cartel has room to hike output further and will likely do so in the coming years with the risk that output increases will continue to be front-loaded. Military intervention and possible regime shift in Venezuela and Iran will have limited impact on the oil market in the short-run but may have a positive effect on world oil supply over the longer-run. But the time-horizon and scope are very uncertain.
- Trade tensions continue to weigh on global oil demand. Tension have eased some recently and the US supreme court looks set to strike down on reciprocal tariffs soon. The result might be more uncertainty about the end-level of tariffs, rather than a reversal of this year's tariff hike.
- Saudi Arabia sharply increased its oil output in June amid the escalation of the conflict between Israel and Iran. It proves that strong automatic stabilisers are present in the oil market right now and help mitigate the impact, e.g. from geopolitical uncertainty. The US has continued buying oil for its strategic reserves but could also halt these purchases if global oil supply was hit and likewise increase purchases if prices fall too much.
- The US oil rig count is on decline as low oil prices hurt profitability in the industry. That has also started to weigh on investments in the US oil industry.
- **Risks.** The risks to our oil price forecast are high – in particular in the short-term, where the outcome space for the conflict in the Middle East and Venezuela and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions if peace talks fail.
- **Conclusion.** We look for Brent to average USD65/bbl in Q1 and rise to, USD80/bbl next year. The rise over the coming year reflects a reversion to a more normal level for the oil output as we do not expect the current level of prices will be sustainable over the medium term.

Forecast: 65 (Q1'26), 70 (Q2'26), 75 (Q3'26), 80 (Q4'26)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

Jens Nærvig Pedersen, Director, jenpe@danskebank.dk, +45 45 14 14 95

Danske Bank FX forecasts vs EUR

G10				Last Update:	19/01/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.16	1.17	1.19	1.21	1.23
EUR/JPY	184	184	183	183	181
EUR/GBP	0.87	0.87	0.88	0.89	0.89
EUR/CHF	0.93	0.92	0.92	0.91	0.91
EUR/SEK	10.73	10.80	10.90	11.00	11.00
EUR/NOK	11.73	11.80	11.90	12.10	12.30
EUR/DKK	7.4719	7.4700	7.4650	7.4600	7.4550
EUR/AUD	1.74	1.75	1.75	1.75	1.76
EUR/NZD	2.01	2.02	2.02	1.98	1.98
EUR/CAD	1.61	1.63	1.65	1.69	1.73
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.23	4.20	4.20	4.10	4.00
EUR/HUF	386	390	400	410	410
EUR/CZK	24.3	24.3	24.2	24.1	24.0
EUR/TRY	50.3	51.4	54.0	57.5	63.7
EUR/ZAR	19.1	19.1	19.4	19.6	19.7
EUR/CNY	8.09	8.15	8.27	8.35	8.36
EUR/INR	105.7	106.5	108.6	110.7	113.2

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	19/01/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	642.67	638.46	627.31	616.53	606.10
JPY/DKK	4.07	4.07	4.07	4.08	4.12
GBP/DKK	861.82	858.62	848.30	838.20	837.64
CHF/DKK	804.24	811.96	811.41	819.78	819.23
SEK/DKK	69.66	69.17	68.49	67.82	67.77
NOK/DKK	63.68	63.31	62.73	61.65	60.61
EUR/DKK	747.19	747.00	746.50	746.00	745.50
AUD/DKK	430.38	427.77	426.57	425.40	424.27
NZD/DKK	371.20	370.31	370.11	376.08	375.78
CAD/DKK	462.74	459.32	451.30	440.38	429.86
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	176.92	177.86	177.74	181.95	186.38
HUF/DKK	1.94	1.92	1.87	1.82	1.82
CZK/DKK	30.76	30.74	30.85	30.95	31.06
TRY/DKK	14.84	14.54	13.82	12.98	11.70
ZAR/DKK	39.06	39.05	38.46	38.01	37.79
CNY/DKK	92.30	91.60	90.26	89.35	89.13
INR/DKK	7.07	7.02	6.87	6.74	6.59

Source: Danske Bank

Note: The convention used is 1/100

Danske Bank FX forecasts vs SEK

G10				Last Update:	19/01/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.23	9.23	9.16	9.09	8.94
JPY/SEK	5.84	5.88	5.95	6.02	6.08
GBP/SEK	12.37	12.41	12.39	12.36	12.36
CHF/SEK	11.55	11.74	11.85	12.09	12.09
EUR/SEK	10.73	10.80	10.90	11.00	11.00
NOK/SEK	0.91	0.92	0.92	0.91	0.89
DKK/SEK	1.44	1.45	1.46	1.47	1.48
AUD/SEK	6.18	6.18	6.23	6.27	6.26
NZD/SEK	5.33	5.35	5.40	5.55	5.54
CAD/SEK	6.64	6.64	6.59	6.49	6.34
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.54	2.57	2.60	2.68	2.75
HUF/SEK	2.78	2.77	2.73	2.68	2.68
CZK/SEK	0.44	0.44	0.45	0.46	0.46
TRY/SEK	0.21	0.21	0.20	0.19	0.17
ZAR/SEK	0.56	0.56	0.56	0.56	0.56
CNY/SEK	1.325	1.324	1.318	1.318	1.315
INR/SEK	0.101	0.101	0.100	0.099	0.097

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	19/01/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	10.09	10.09	10.00	10.00	10.00
JPY/NOK	6.39	6.42	6.49	6.62	6.80
GBP/NOK	13.53	13.56	13.52	13.60	13.82
CHF/NOK	12.63	12.83	12.93	13.30	13.52
SEK/NOK	1.09	1.09	1.09	1.10	1.12
EUR/NOK	11.73	11.80	11.90	12.10	12.30
DKK/NOK	1.57	1.58	1.59	1.62	1.65
AUD/NOK	6.76	6.76	6.80	6.90	7.00
NZD/NOK	5.83	5.85	5.90	6.10	6.20
CAD/NOK	7.27	7.26	7.19	7.14	7.09
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.78	2.81	2.83	2.95	3.08
HUF/NOK	3.04	3.03	2.98	2.95	3.00
CZK/NOK	0.48	0.49	0.49	0.50	0.51
TRY/NOK	0.23	0.23	0.22	0.21	0.19
ZAR/NOK	0.61	0.62	0.61	0.62	0.62
CNY/NOK	1.45	1.45	1.44	1.45	1.47
INR/NOK	0.11	0.11	0.11	0.11	0.11

Source: Danske Bank

Danske Bank FX forecasts vs USD

G10				Last Update:	19/01/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.16	1.17	1.19	1.21	1.23
USD/JPY	158	157	154	151	147
GBP/USD	1.34	1.34	1.35	1.36	1.38
USD/CHF	0.80	0.79	0.77	0.75	0.74
USD/SEK	9.23	9.23	9.16	9.09	8.94
USD/NOK	10.09	10.09	10.00	10.00	10.00
USD/DKK	6.43	6.38	6.27	6.17	6.06
AUD/USD	0.67	0.67	0.68	0.69	0.70
NZD/USD	0.58	0.58	0.59	0.61	0.62
USD/CAD	1.39	1.39	1.39	1.40	1.41
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.64	3.59	3.53	3.39	3.25
USD/HUF	332	328	336	339	333
USD/CZK	20.91	20.77	20.34	19.92	19.51
USD/TRY	43.27	43.90	45.40	47.50	51.80
USD/ZAR	16.45	16.35	16.31	16.22	16.04
USD/CNY	6.96	6.97	6.95	6.90	6.80
USD/INR	90.97	91.00	91.25	91.50	92.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	19/01/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.34	1.34	1.35	1.36	1.38
GBP/JPY	212	211	208	205	203
EUR/GBP	0.87	0.87	0.88	0.89	0.89
GBP/CHF	1.07	1.06	1.05	1.02	1.02
GBP/SEK	12.37	12.41	12.39	12.36	12.36
GBP/NOK	13.53	13.56	13.52	13.60	13.82
GBP/DKK	8.62	8.59	8.48	8.38	8.38
GBP/AUD	2.00	2.01	1.99	1.97	1.97
GBP/NZD	2.32	2.32	2.29	2.23	2.23
GBP/CAD	1.86	1.87	1.88	1.90	1.95
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.87	4.83	4.77	4.61	4.49
GBP/HUF	445	448	455	461	461
GBP/CZK	28.02	27.93	27.50	27.08	26.97
GBP/TRY	58.06	59.04	61.39	64.58	71.59
GBP/ZAR	22.06	21.99	22.06	22.05	22.17
GBP/CNY	9.34	9.37	9.40	9.38	9.40
GBP/INR	121.97	122.38	123.39	124.40	127.15

Source: Danske Bank

Disclosure and disclaimer

The following disclaimer and disclosure apply to all communication as such, including communication to which it is attached, linked to or otherwise referenced (the "Communication"). For the parts that refer to the term "investment recommendation", the disclaimer and disclosure are only applicable as far as the Communication falls under the definition in Regulation (EU) No 596/2014. The Communication has been prepared by personnel in the LC&I's Sales & Trading departments or non-independent Research departments of Danske Bank A/S. The views set forward in the Communication may differ from views or opinions in other departments of Danske Bank A/S. It constitutes a short-term view and is subject to change and Danske Bank A/S does not undertake to notify any recipient of the Communication of any such change. A list of all previous investment recommendations on any financial instrument made in the past 12 months, including all previous investment recommendations made by the producer is available upon request, free of charge.

The LC&I's Sales & Trading departments' or non-independent Research departments' personnel are not independent research analysts, and the Communication is not intended to constitute "investment research" as that term is defined by applicable regulations. The Communication has as such not been prepared in accordance with the legal requirements designed to promote the independence of investment research and is not subject to any prohibition on dealing ahead of the dissemination of the communication. The personnel in the LC&I's Sales & Trading departments or non-independent Research departments may be remunerated based on investment banking revenues, and may receive bonuses or other remuneration linked to specific investment banking transactions. Danske Bank A/S or its personnel may hold a position in any financial instrument discussed herein. Personnel is subject to a Personal Account Dealing policies. Further, Danske Bank A/S may act as market maker or have performed other services for the entities mentioned, which could include investment banking or other services, leading to payments or promises of payments. Prices and availability are indicative and may change without notice.

The Communication is provided for informational purposes only and should not be considered investment, legal or tax advice. It does not constitute or form part of, and shall under no circumstances be considered as, an offer to sell or a solicitation of an offer to purchase or sell any relevant financial instruments. Danske Bank A/S is not acting as an advisor, fiduciary or agent. Recipients of the Communication should obtain advice based on their own individual circumstances from their own tax, financial, legal and other advisors about the risks and merits of any transaction before making an investment decision, and only make such decisions on the basis of the investor's own objectives, experience and resources. All investments carry risks. The value of any investment may fluctuate, and investors may get back less than they invested. Past performance is not indicative of future results.

The Communication has been prepared independently and solely on the basis of available information that Danske Bank A/S considers to be reliable, but Danske Bank A/S has not independently verified the contents hereof. While reasonable care has been taken to ensure that its contents are not untrue or misleading, no representation or warranty, ex press or implied, is made as to and no reliance should be placed on the fairness, accuracy, completeness, currentness or reasonableness of the information, opinions and projections contained in the Communication and Danske Bank A/S, its affiliates and subsidiaries accept no liability whatsoever for any direct or consequential loss, including without limitation any loss of profits, arising from reliance on the Communication.

For current disclosures of Danske Bank A/S' interests and potential conflicts of interest regarding issuers and financial instruments subject of investment recommendations please refer to the *https://danskeci.com/ci/research/disclosures-and-disclaimers*Danske Bank's Disclosure and disclaimer webpage: *https://danskeci.com/ci/research/disclosures-and-disclaimers*.

Please note that while information on the great majority of relevant issuers and financial instruments are contained on this website, it may not contain information on all relevant issuers and financial instruments. The absence of information on any relevant issuer or financial instrument should not be seen as an indication that Danske Bank A/S does not have any interests or potential conflicts of interest on the issuer or financial instrument. Please contact your Danske Bank A/S representative for information regarding any issuer subject of investment recommendation that is not mentioned on *https://danskeci.com/ci/research/disclosures-and-disclaimers*.

Danske Bank A/S is authorised and subject to regulation by the Danish Financial Supervisory Authority and is subject to the rules and regulation of the relevant regulators in all other jurisdictions where it conducts business. Danske Bank A/S is subject to limited regulation by the Financial Conduct Authority and the Prudential Regulation Authority (UK). Details on the extent of the regulation by the Financial Conduct Authority and the Prudential Regulation Authority are available from Danske Bank A/S on request.

The Communication is protected by copyright and is intended solely for the designated addressee. It may not be reproduced or distributed, in whole or in part, by any recipient for any purpose without Danske Bank A/S' prior written consent.

Disclaimer related to distribution in the United Kingdom

In the United Kingdom, the Communication is for distribution only to (I) persons who have professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the 'Order'); (II) high net worth entities falling within article 49(2)(a) to (d) of the Order; or (III) persons who are an elective professional client or a per se professional client under Chapter 3 of th e FCA Conduct of Business Sourcebook (all such persons together being referred to as 'Relevant Persons'). In the United Kingdom, this document is directed only at Relevant Persons, and other persons should not act or rely on this document or any of its contents.

Disclaimer related to distribution in the European Economic Area

The Communication is being distributed to and is directed only at persons in member states of the European Economic Area ('EEA') who are 'Qualified Investors' within the meaning of Article 2(e) of the Prospectus Regulation (Regulation (EU) 2017/1129) ('Qualified Investors'). Any person in the EEA who receives this document will be deemed to have represented and agreed that it is a Qualified Investor. Any such recipient will also be deemed to have represented and agreed that it has not received this document on behalf of persons in the EEA other than Qualified Investors or persons in the UK and member states (where equivalent legislation exists) for whom the investor has authority to make decisions on a wholly discretionary basis. Danske Bank A/S will rely on the truth and accuracy of the foregoing representations and agreements. Any person in the EEA who is not a Qualified Investor should not act or rely on this document or any of its contents.

Disclaimer related to distribution in the United States

The Communication was created by Danske Bank A/S and is distributed in the United States by Danske Markets Inc., a U.S. registered broker-dealer and subsidiary of Danske Bank A/S, pursuant to SEC Rule 15a-6 and related interpretations issued by the U.S. Securities and Exchange Commission. The communication is intended for distribution in the United States solely to 'U.S. institutional investors' as defined in SEC Rule 15a-6. Danske Markets Inc. accepts responsibility for this investment recommendation in connection with distribution in the United States solely to 'U.S. institutional investors'. Any U.S. investor recipient of the Communication who wishes to purchase or sell any Relevant Financial Instrument may do so only by contacting Danske Markets Inc. directly and should be aware that investing in non-U.S. financial instruments may entail certain risks. Financial instruments of non-U.S. issuers may not be registered with the U.S. Securities and Exchange Commission and may not be subject to the reporting and auditing standards of the U.S. Securities and Exchange Commission.

The Communication is for the general information of our clients and is a 'solicitation' only as that term is used within CFTC Rule 23.605 promulgated under the U.S. Commodity Exchange Act. Unless otherwise expressly indicated, the Communication does not take into account the investment objectives or financial situation of any particular person.

Report completed: 19 January 2026, 10:30 CEST

Report first disseminated: 19 January 2026, 11:30 CEST